How To Hedge Your Portfolio with Put Options & The Cornerstone Box Method to Live the F.I.R.E. Lifestyle (Vol. 5)

FIRE stands for “Financially Independent Retire Early."

*Disclaimer: This is not investment advice! I’m just a man sharing what works best for me in my own passive income portfolio.

For live examples of how I buy put options and box Cornerstone, call me anytime!

Or, you can follow my F.I.R.E portfolio service for daily trades by clicking the link below.

My FIRE Portfolio Service:
https://www.youtube.com/channel/UCNPeflW6gWbswQom6NSCa_g/join

Chapter 1:

The Three Kinds of Portfolio Hedges I Use

When it comes to protecting your passive income portfolio, there are three main ways to do it that are easily accessible to the everyday person:

1.) Using triple leveraged shorts on the indexes (SPXU, SQQQ, TZA, HIBS, FNGD, SDOW, SOXS)
2.) Buying put options on the indexes (SPY & QQQ puts)
3.) Short-Selling Cornerstone through "boxing"

Triple leveraged ETFs are the easiest vehicles to use. You just enter in the ticker symbol of some of the names listed above in #1 and buy. Simple as that.

SPXU is the triple-leveraged short of the S&P 500, SQQQ is the triple short of the Nasdaq, TZA is the triple short of the Russell 2000, and SDOW is the triple short of the Dow Jones Industrial Index. SOXS is the triple short

for semiconductors, but it is more sector-specific, where risk increases.

Triple-leveraged, inverse ETFs are great for hedging your portfolio in a down market, especially our triple longs.

I usually buy UPRO, TQQQ, UDOW, TNA, HIBL, SOXL, & FNGU as my preferred long vehicles, since they move up x3 whatever the S&P 500 and the other respective indexes do.

If the S&P 500 moves up 1%, then UPRO moves up 3%. The same goes for the downside.

So, strategically pairing UPRO with SPXU, for example, can be a viable strategy when trying to outperform markets.

I deploy strangles where, if I have $10,000 invested in UPRO, let's say, and $5,000 invested in SPXU, then I can potentially make $300,000 in ten years in UPRO (as seen by Morningstar charts in my videos), and only lose $5,000 in SPXU.

*Of course, SPXU won't go to zero completely, and sometimes these shorts even pay a small dividend, so there is no way to lose the entire 5K unless the fund itself blows up. Those dividends could even help cashflow the

investment and double overtime. SARK, for example, always surprises me with it’s higher than average yield.

But I digress!

Chapter 2:

The Genius of Put Options

In addition to triple-leveraged shorts, put options are an effective, more exciting way to protect the majority of your portfolio.

Known as married puts, options are the more prevalent way for me to hedge since many of the closed end funds (CEFs) that we own don't really hurt us in down markets, I've found, unless their premiums are exorbitantly high, like in October of 2023 (see Vol. 4 for more on premiums in closed-end funds).

Again, normally CEF dividends would just cashflow all losses overtime without hurting you too badly in a bear market.

So, SPY put options offer the best bang for your buck in a typical down market, and they can also hedge our CEFs- since most are indexed.

SPY put options go a step further than inverse triple-leveraged ETFs and give us the exponential leverage triples can’t provide (which is astounding when you think about it).

Just $100 in an SPY or QQQ put option can make you a million in a REAL crash and yet, you can only lose the $100 that you put up.

This is the allure behind put options since stocks stair-step up, and elevator down.

Why not always keep $100 or so of insurance on then, especially if your portfolio is growing to a substantial enough size?

$1,200 a year in insurance is nothing in order to sleep at night, right?

Afterall, cars or houses don’t usually flood, but insurance protection is important, nonetheless, for freely pursuing your happiness.

Well, there is a certain art to deploying options strategies that I had to acquiesce over time. The worst feeling in the world is having a put option on that doesn’t participate fully in the market meltdown.

Selecting the wrong put option is more frustrating than never having the options on in the first place (it seems).

Luckily for you, I took my lumps the hard way and studied the other puts that WERE working on down days.

Sometimes, I bought them after the fact and lost on purpose, just to track them. I never mind losses to tuition fees, though. The education pays off in the long run.

Chapter: 3

How I Use Put Options to Hedge the Rest of My Portfolio

1.) See my Vol. 3 E-Guide for more on put options.

2.) Choose SPY or QQQ as your main put option vehicles to hedge your portfolio when the RSI in those gets close to overbought, or when market as a whole is absolutely melting down.

Put options can quickly stem losses while giving you exponential leverage that you need in a crash.

3.) Select market order, since they are liquid.

4.) Choose the expiration date around a month out. So, about 30 days out from today, and try to do so when the VIX is low- for best pricing.

- Some professionals go 3 months out. However, those are too expensive for me and don't move enough in a down market, due to the extended time component.

- Monthlies moves the MOST, which is what I want in a crash. Longer term puts tend to act more like the index itself on down days, moving in smaller percentages.

- The more expensive, longer-term protection is better than nothing. But, is it worth the higher maintenance, decay, and possibility that you could be wrong as markets average 7%/YR over time?

- Spending 3-4K in options 2-3 months out every quarter is a lot to lose for little upside potential in a down market.

- Plus, you have to constantly rebalance that more expensive put if markets rise, or there will be nothing left by the time the actual crash ensues.

- This “throwing good money after bad” phenomenon to rebalance your expensive LEAP-style puts can erode your equity and performance significantly.

- So, I just want the cheapest insurance that I can reset each month in order to avoid timing issues and rebalancing issues.

- This method also has the largest upside potential for sharp moves down in a bear market.

4.) Select a strike price that's around 10% below the market price, or is at least at a key support area (see Vol. 2 for more on charts and technicals).

The right strike price selected at key support areas accomplishes a few important things:

- It provides optimal value.

- Keeps delta strong (where your option tracks the stock well 1:1).

- Improves gamma (where your option increases in value as it approaches the strike price).

- Minimizes decay (especially if chosen around a major moving average).

There is a lot of demand around major support areas, especially the 200-day mavg, so this makes the option work better.

Sometimes you can go 15% below the market price if you need cheap insurance in a bind. Those further away still perform ok on down days, I've found.

But on up days, be careful. The decay accelerates exponentially when expiration approaches, or when the market diverges further away from your strike price.

5.) I usually cover most of my puts when the RSI approaches oversold territory, or when the VIX approaches resistance or overbought territory.

Or, I cover NEW puts when they turn small profits, in order to make up for losses in older puts (when possible).

Since most put options are losing endeavors, I sell and salvage what I can for losses each month, and just roll the option manually for the next month, repeating the same process.

I ALWAYS buy NEW puts when the market has big moves up, and gets closer to the end of the 30-day protection period my puts provide, since they are cheaper as the VIX fell.

So, sometimes I take profits in these, and let my old puts I was losing in comeback. If my old puts don't comeback, at least I salvage what was left in them, or I took small

gains in the newer, higher strike price puts that I bought when I rolled the next month (as market prices rose).

Chapter 4:

10 Reasons to Box with Cornerstone to Protect Against Market Falls

Shorting/boxing is good for protecting the closed end side of your portfolio, which can be most of investor's portfolios if they are serious about indexing with income, like me.

Cornerstone shorts also protect the rest of the portfolio because Cornerstone IS the index.

I particularly like to short Cornerstone at market highs in order to manage risk and pay for trips. Enjoying my winnings is important, or what’s the point of life?

Here are 10 advantages to shorting with Cornerstone:

1.) Cornerstone has ample liquidity (both CLM and CRF are extremely large).

2.) Both are virtually the index, so it works.

3.) Cornerstone shorts have less decay than options.

4.) You don’t have to be right on the timing when boxing the C’s; just sell before ex-dates to avoid paying the short dividend.

- I actually hold through the ex-dates because the fund drops by the equivalent amount of the dividend anyway.

5.) Boxing lowers maintenance & RAISES equity.

6.) The short borrow rate is lower than my margin rate, at times.

7.) Boxing is beneficial for the C’s ROs & even their ex-date drops (as I mentioned above).

8.) Banks don’t see the 16% you pay in short dividends if you hold. But, they see the long 21% dripped dividends (one way or another).

9.) Boxing the C’s provides recourse just in case closed-end funds like the C’s, or any other CEFs for that matter, go haywire. This is the key reason for me boxing a small amount of the C’s at all times.

10.) There is an arbitrage spread for the drip yield vs. the market yield, as we said above.

Chapter 5:

When To Box

1.) When your equity gets too low from other losses experienced in your account. Boxing is a great way to immediately counteract losses and buy time for you to re-evaluate.

*Put options cannot accomplish this for you; they cannot raise much equity in a bind except when the market moves in their favor.

*Boxing allows you to RAISE equity immediately without having the shorts to be right.

*The market can remain sideways and you still raise equity through the lower maintenance that is achieved through boxing.

2.) Box when markets are overbought (completely overbought though, not just tech).

- If tech & FANG are overbought, consider just owning QQQ puts at that time, or even strangle

FNGU with FNGD, as we alluded to above with UPRO & SPXU.

- Review the top ten sectors each week to determine market breadth. Use SPDR funds: XLE, XLU, XLK, XLF, etc.

- If every sector is expensive, then look into boxing some Cornerstone if you own it already.

3.) Box when C's premiums reach 20% + and the yield is lower for arbitrage opportunities.

- Or, when other closed end funds that are not Cornerstone (RIV, GOF, CHI, & USA, for example) become too over-extended and you have lots of exposure in them, like me.

- Cornerstone shorts should offset all CEF weakness if they all fall together, like they did last October.

4.) Box when the Cornerstone RO is announced.

5.) Box if you just want a small short to act as recourse in the event of an unforeseen liquidation of shares, should an "Enron" or black swan-style event occur.

Chapter 6:

How To Box

1.) Simply click “sell short” instead of sell.

2.) I do so at a market order.

3.) Sometimes they require limit orders, in which case you’d sell at the bid price, instead of the ask price.

4.) Call me when you’re placing the order if you need more help (text first for a heads up).

Chapter 7:

Conclusion

Remember with puts and hedging, if nothing else, they are mostly just there to help you sleep at night. Only $100-$300/mo is needed in order to do serious damage in a crash.

However, crashes are rare. Typically puts lose as our indexed plays go up, but they allow me to take more risk on margin as well as take advantage of extreme downside opportunities in the market.

So, without margin, staying in the indexes wouldn't really require puts, since “timing” is statistically not a viable strategy. Of course, you can always try to time if you’re more hands on.

But, if you’re more hands off or don't use leverage, simply rebalancing at the highs and lows, when you are "indexed" with traditional ETFs, will suit most investors fine.

If you are taking the more adventurous route with margin leverage and Cornerstone, well, now you have two weapons available at your disposal in the event of a market downturn to capitalize on with: short selling to box, and put options.

Of course, “buy to cover” around the lows if you can when short selling Cornerstone, DCA (dollar cost average and go long there for more gains on the long side), and then ride your portfolio of long indexed plays like Cornerstone back to the top!

Don’t forget to reach out if you have any questions! For more help on executing these trades in real-time, call me or visit my FIRE Portfolio service on YouTube by clicking the link below.

My FIRE Portfolio Service:
https://www.youtube.com/channel/UCNPeflW6gWbswQom6NSCa_g/join

Talk to you soon!